AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B326

Advanced Financial Accounting

Mid-term Examination – VB
First Semester 2025-2026

20–November–2025

Number of Pages: 4 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (22 marks)

A- Goodwill should be tested for impairment at least once a year, and if a triggering event occurs. Mention 5 reasons (events) that are considered a trigger for a company to carry out a goodwill impairment test. (10 marks)

B- Parrot Incorporated purchased the assets and liabilities of Sparrow Company at the close of business on December 31, 2021. To complete this transaction, Parrot took out a note payable of $900,000, in addition to the $1,690,000 cash that they paid directly. The fair value and book value of Sparrow's recorded assets and liabilities as of the date of acquisition are listed below.

	Book Value	Fair Value
Cash	$120,000	$120,000
Inventories	220,000	250,000
Other current assets	630,000	600,000
Land	270,000	320,000
Plant assets-net	4,650,000	4,600,000
Total Assets	$5,890,000	
Accounts payable	$1,200,000	$1,200,000
Notes payable	2,100,000	2,100,000
Capital stock, $5 par	700,000	
Additional paid-in capital	1,400,000	
Retained Earnings	490,000	
Total Liabilities & Equities	$5,890,000	

Required:

Prepare Parrot's general journal entry for the acquisition of Sparrow, assuming that Sparrow will dissolve as a separate legal entity. (12 marks)

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Question 2 (38 marks)

Prince Corporation acquired 75% interest in Summer Corporation on January 1, 2021, for $1,200,000, when summer stockholders' equity was $900,000. On this date, the book value of summer's assets and liabilities was equal to the fair value, except for plant assets that were undervalued by $100,000 and had a remaining useful life of 20 years from January 1, and Liabilities that were overvalued by 45,000, which was retired in 2021. Summer's net income and dividends for 2021 were $250,000 and $50,000, respectively.

Balance sheet information for Prince and Summer Corporations at December 31, 2021, are as follows (in thousands):

	Parent	Subsidiary
Cash	250,000	175,000
Receivable	150,000	225,000
Inventory	513,250	400,000
Plant, net	2,250,000	500,000
Investment in Summer	1,312,500	
Total	4,475,750	1,300,000
Liabilities	1,350,000	200,000
Capital stock	1,000,000	375,000
Retained Earnings	2,125,750	725,000
Total	4,475,750	1,300,000

Required:

1) Prepare the elimination entries required for consolidation on December 31, 2021. *Show all required computations.*
2) Prepare consolidated balance sheet work paper for Prince Corporation and Subsidiary at December 31, 2021.
3) State the items that have been amortized and those that have not, and explain why.

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Question 3 (40 marks)

Powell Corporation acquired 80% of the voting stock of Santer Corporation on January 1, 2021 for $10,400 when Santer had Capital Stock of $5,000 and Retained Earnings of $4,000. The amounts reported on the financial statements approximated fair value, with the exception of inventories, which were understated on the books by $400 and were sold in 2021, land which was undervalued by $1,100, and equipment with a remaining useful life of 4 years under the straight-line method, which was undervalued by $1,200. Any remainder was assigned to goodwill.

Powell has accounted for its investment in Santer using the equity method of accounting. Powell Corporation owed Santer Corporation $100 on open account at the end of the year. Dividends receivable in the amount of $450 payable from Santer to Powell is included in Powell's net receivables. Separate financial statements for Powell and Santer for 2022 are summarized as follows (in thousands):

	Powell	Santer
INCOME STATEMENT		
Sales	$ 10,000	$ 6,500
Income from Santer	1,080	
Cost of Sales	(4,000)	(3,300)
Depreciation Expense	(1,000)	(1,000)
Other expenses	(1,800)	(700)
Net income	4,280	1,500
Retained Earnings 1/1	2,510	5,000
Add: Net income	4,280	1,500
Less: Dividends	(2,000)	(1,000)
Retained Earnings 12/31	$ 4,790	$ 5,500
BALANCE SHEET		
Cash	1,440	1,900
Receivables-net	1,100	600
Inventories	1,500	1,200
Land	1,000	1,600
Equipment and Buildings-net	7,500	6,700
Investment in Santer	12,060	
Goodwill		
TOTAL ASSETS	$ 24,600	$ 12,000
LIAB. & EQUITY		
Accounts Payable	3,810	1,000
Dividends Payable	2,000	500
Capital Stock	14,000	5,000
Ret. Earnings	4,790	5,500
Total LIAB. & EQUITY	$ 24,600	$ 12,000

***Required:* Using Equity Method**

Prepare the elimination entries required for consolidation on December 31, **2022**. *Show all required computations.*

[End of Questions]

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